

Eurozone likely to avoid hard landing despite Iran war fallout

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Middle East crisis is the dominant near-term risk The Middle East crisis remains the defining uncertainty for European markets. The impact on EU growth|||||||

Practice Letter

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Middle East crisis is the dominant near-term risk

The Middle East crisis remains the defining uncertainty for European markets. The impact on EU growth and inflation is materially larger than for the US—if still well below 2022 levels—with Europe's dependence on imported gas a particular vulnerability. The chart below shows our estimates of the initial impact of higher energy prices on growth before any offsetting policy response; policymakers can act to underpin growth without adding inflationary pressure.

So far, the economic outlook has been resilient. Demand has held up, with AI-driven investment absorbing some of the shock, and major policy mistakes have been avoided. Fiscal interventions have been limited—though more substantial in high-debt economies (Spain, Greece, and to a lesser extent Italy), and predominantly untargeted. Monetary policy has helped anchor inflation expectations, and the absence of dramatic financial spillovers has limited the impact.

Structural challenges loom as risk of trade clash with China grows

In the longer term, the European economy confronts a familiar but formidable cluster of structural challenges: the energy transition, a persistent shortfall in AI and R&D investment, and worsening demographics at odds with political pressure to tighten immigration. The security environment remains challenging, with an emboldened Russia and uncertainty about US commitment—even if Washington's support for Ukraine has strengthened recently. Building genuine European defense capacity will take time and divert investment.

Meanwhile, the deterioration in global trade policy continues to squeeze European exporters from both sides: US tariffs and aggressive Chinese industrial policy are compounding the pressure on European industry. The risk of a meaningful worsening of EU-China relations is critical and, in our view, underappreciated.

We see the relationship heading toward open trade conflict, rating China the EU's biggest strategic vulnerability (see: Trade confrontation will escalate despite managed pause , 2 July 2026). The

European Commission's new overcapacity instrument, due in late September, will not bite before 2028; expect anti-dumping and safeguard actions on autos, chemicals, and machinery in the meantime. Beijing is retaliating against new EU sanctions over Ukraine with dual-use export controls on 14 EU entities—globally containable, but a fundamental challenge for European industrial margins and capex.

Cautious optimism on the structural response

Our cautious optimism on Europe's structural response—Brussels's competitiveness agenda, reflecting Mario Draghi's 2024 recommendations—rests on sustained political momentum driven by external pressures (see: Alignment among major economies is unlocking progress on several key fronts , 2 July 2026). It underpins our relative optimism on growth and investment, and critically, on the EU avoiding an existential crisis. The most important near-term anchor remains Germany's commitment to investment and defense spending.

But that momentum is fragile. Coming election cycles, especially the French presidential vote, pose risks that markets do not appear to be pricing in.

Hard landing unlikely but prospects for strong cyclical recovery remain dim

Looking ahead, the positive fiscal impulse is fading regardless of election outcomes. The end of NextGenerationEU means public investment will be considerably less supportive from 2028, and most major euro area economies—Germany excepted—face pressure to rein in spending. The constructive counterpoint is that the imbalances of the previous European crisis are less pronounced: Southern Europe is consolidating, current account positions are not threatening, and Germany's investment commitment is eroding its external surplus. Energy transition and defense remain tailwinds.

Absent significant policy mistakes and financial market accelerators, Europe is likely to avoid a hard landing. But the growth environment is challenging, with France and Germany remaining stuck in low gear.

Our basecase is subpar growth rather than recession. A recession needs an accelerator: renewed tightening in bank lending standards, or a European Central Bank (ECB) that tightens further into a supply shock—a lasting Hormuz disruption keeping energy prices elevated through year-end would risk delivering both. The upside case is de-escalation pulling oil toward the mid-\$60s alongside faster delivery on competitiveness, with falling wholesale power prices the underappreciated medium-term tailwind (see Wholesale electricity costs will fall sharply before 2030 , 9 July 2026) .

On monetary policy, the ECB has effectively tied its communication to oil price dynamics. The June hike appears sensible in retrospect; another move in September is priced in, with December contingent on how the Middle East evolves. The ECB risks overtightening, but its aggressive response will help contain perceived inflation risks and long-term yields, with US-Germany spreads likely wider. The critical positive is that feared sharp credit tightening has not materialized.

Higher yields are shrinking fiscal space

Geopolitically driven supply-side shocks, higher nominal rates, and persistent inflation uncertainty make this a challenging backdrop for sovereigns with already-strained fiscal balances. Ultra-long sovereign yields reflect the structural shift upward of the past two years; even German yields are at their highest since 2011. French spreads over Germany reflect the fiscal impasse more than near-term electoral risk, despite increasing odds of a far-right election win in France next year—and higher yields lift the

debt-servicing burden at the moment when fiscal space is shrinking.

Rising AI-driven investment demand is also pushing up real and nominal yields—adding a demand-side dimension to what has primarily been a supply-side repricing.

Country outlooks: France the key risk, Germany the bright policy spot

France is the country that concerns us most. With a long runway to the next presidential election, meaningful policy action is extremely unlikely—lost time for necessary fiscal consolidation. France is leveraged both publicly and at the household level, and political paralysis is a dangerous combination with that balance sheet. The next president faces a high bar: credible fiscal improvement while satisfying electoral mandates. France's deficit has not fallen—unlike most eurozone peers—and pension reform reversals will add to future liabilities. The longer fiscal discipline is deferred, the more disruptive the reckoning.

Germany is the more constructive story. Recent economic reforms are meaningful, and markets have read them that way. They do not resolve every structural challenge or eliminate political risk—but demonstrating the capacity to act carries weight. Investment and defense spending must be ring-fenced; a retreat to fiscal conservatism is low-probability but implementation risks are real. German policy has moved in the right direction, against a backdrop of a diminished industrial base and negligible growth since the post-pandemic rebound.

Italy's outlook has deteriorated. The three pillars that kept the country stable under Prime Minister Giorgia Meloni—gradual fiscal consolidation, large EU transfers, and domestic political cohesion—are all coming under pressure. The MENA crisis has strained finances, with Rome enacting energy-cost measures approaching 0.15% of GDP; next year will bring additional slippage as Rome uses EU flexibility to fund defense and energy relief. The wind-down of the Recovery and Resilience Facility from 2027 removes a critical investment tailwind; structural vulnerabilities—high debt, weak productivity, poor demographics—remain a drag. Italy is not our basecase for a sharp deterioration, but it is exposed if growth falters.

Spain has experienced strong underlying growth, delivering sustained fiscal improvement, with positive net migration, comparatively low energy prices, and EU-funded investment all important tailwinds. Yet the government has failed to pass a budget for three consecutive years; corruption scandals and legislative deadlock are reinforcing a perception of policy drift, putting snap-election odds at 40%. The winding down of EU recovery funds from 2027 will compound Spain's underinvestment problem, particularly if tighter immigration policies affect labor supply. Fiscal slippage and energy-related spending will exhaust available headroom, with balances set to become a growing constraint from next year onward.

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